

Ultra Sound Money

Ethereum's Post-Merge Supply Dynamics & Monetary Thesis

Current Supply ~121.6M ETH | ETH Price ~\$2,243 | Base Gas ~0.1 Gwei | Net Change +0.83%/year

Data: ultrasound.money • Analysis for crypto-native investors

ETH Supply Growing at +0.83%/Year with Only 192 ETH Burned in 7 Days

Current Supply

121,603,980 ETH

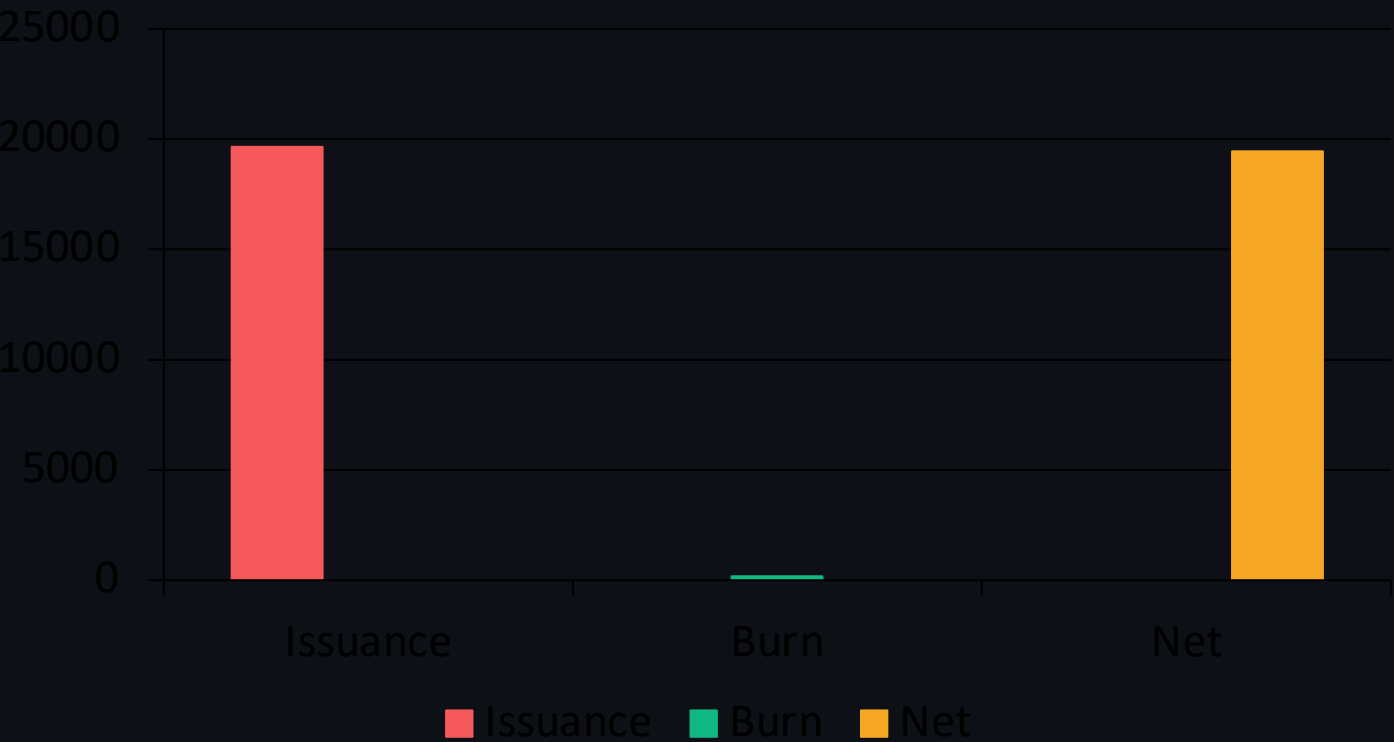
Net 7D Change

+19,445.89 ETH

Issuance Offset

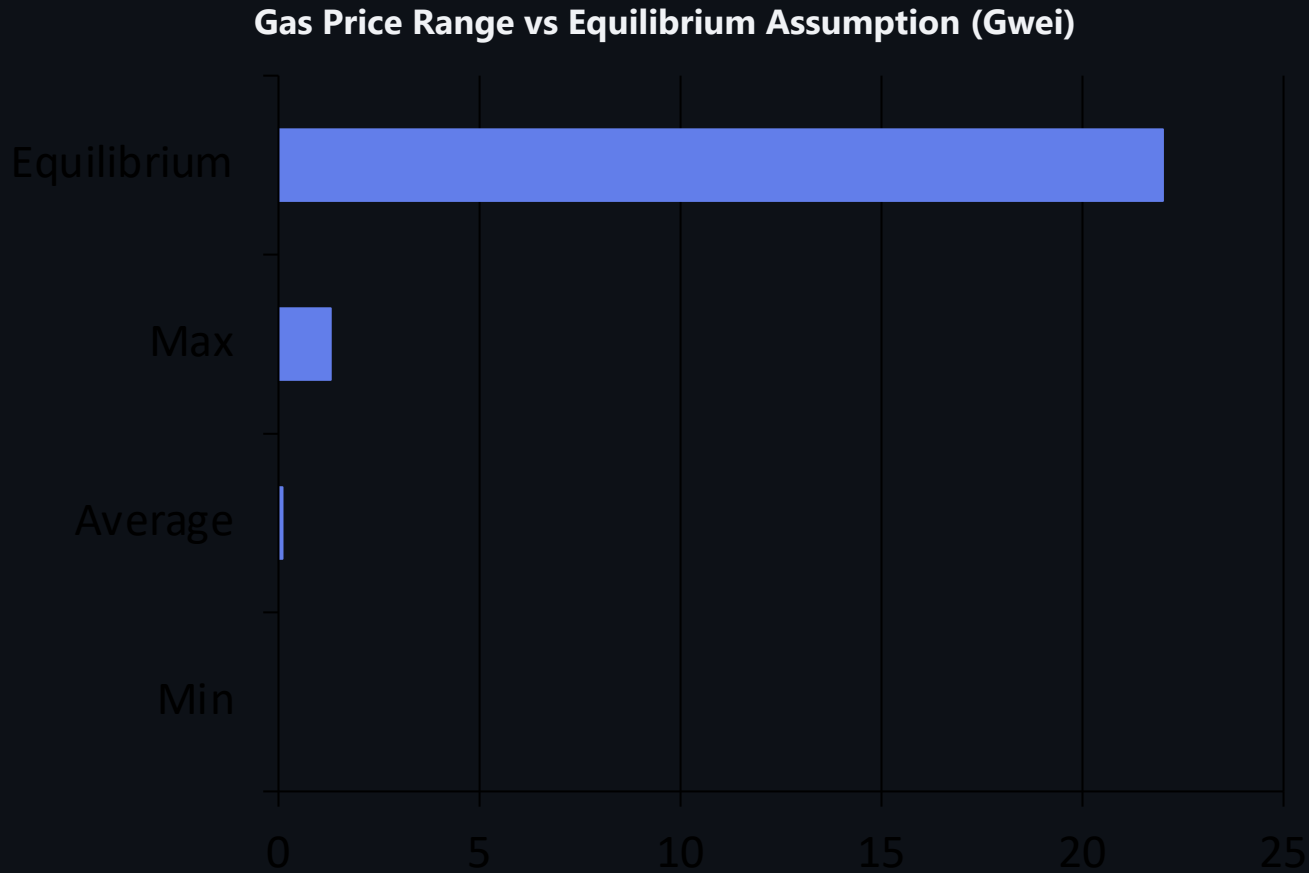
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7-Day Issuance vs Burn (ETH)



- 19,638 ETH issued to validators over 7 days
- Only 192 ETH burned via EIP-1559 base fees
- Burns offset merely ~1% of new issuance
- Annualized supply growth: +0.83%/year
- Historic low gas (0.1 Gwei) suppresses burn

Base Gas at Historic Lows: 0.1 Gwei Average Suppresses Fee Burn

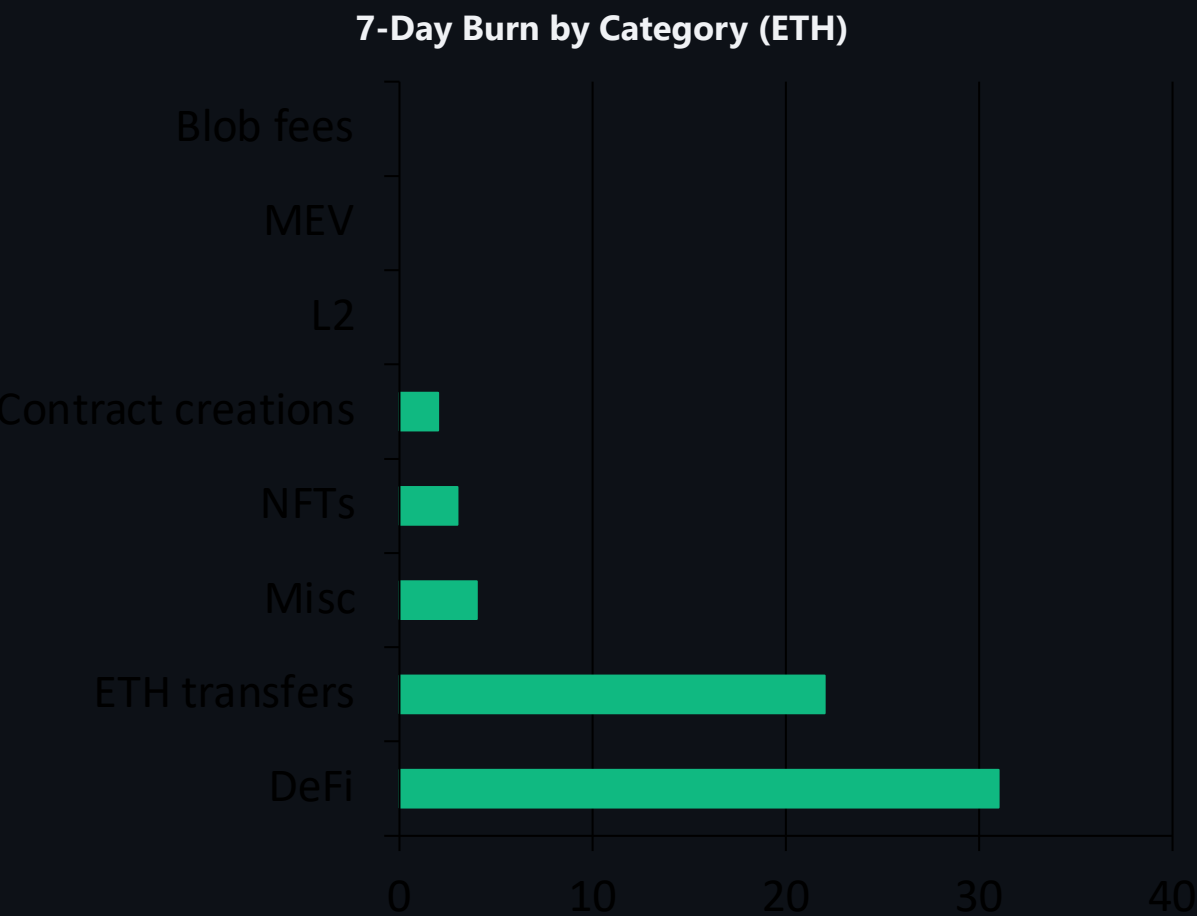


EIP-1559 Burn Mechanism

- Base fee is burned; priority fee goes to validators
- Low gas = low base fee = minimal burn
- Current 7D average: 0.1 Gwei (min 0.0, max 1.3)
- Blob gas avg: ~7.1M wei; blob fee burn: 0.15 ETH
- Equilibrium requires sustained ~22 Gwei average
- Result: temporary supply inflation, not deflation

Note: The 22 Gwei equilibrium assumption used in long-term projections is far above current levels. Low gas = low burn = temporary supply inflation.

DeFi and ETH Transfers Account for 85% of Weekly Fee Burn



Burn Leaderboard (7D)

Category / Contract	Burn (ETH)
ETH transfers	21.74
Tether USDT	13.55
DeFi (aggregate)	~31
NFTs	3
Contract creations	2

Recent blocks show burns of 0.00–0.01 ETH per block. The 7-day burn record was just 0.07 ETH in a single block.

38.9M ETH Staked at 2.7% Issuance Rewards with Minimal Tips and MEV

Total Staked

38.9M ETH (~32% supply)

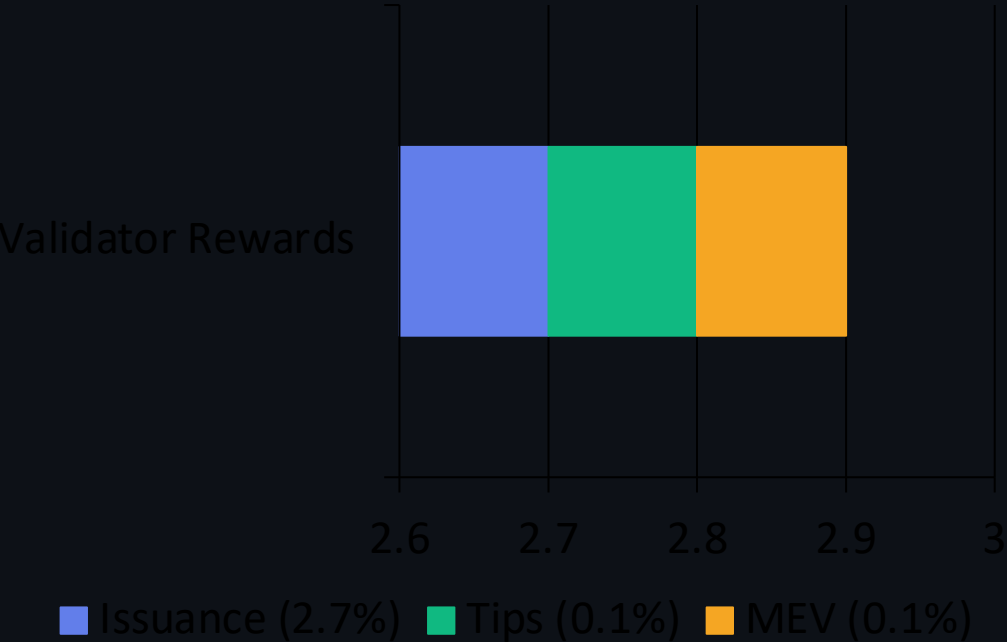
Locked in Contracts

9.1M ETH (avg 10.7 yrs)

PoS Issuance

~2,800 ETH/day

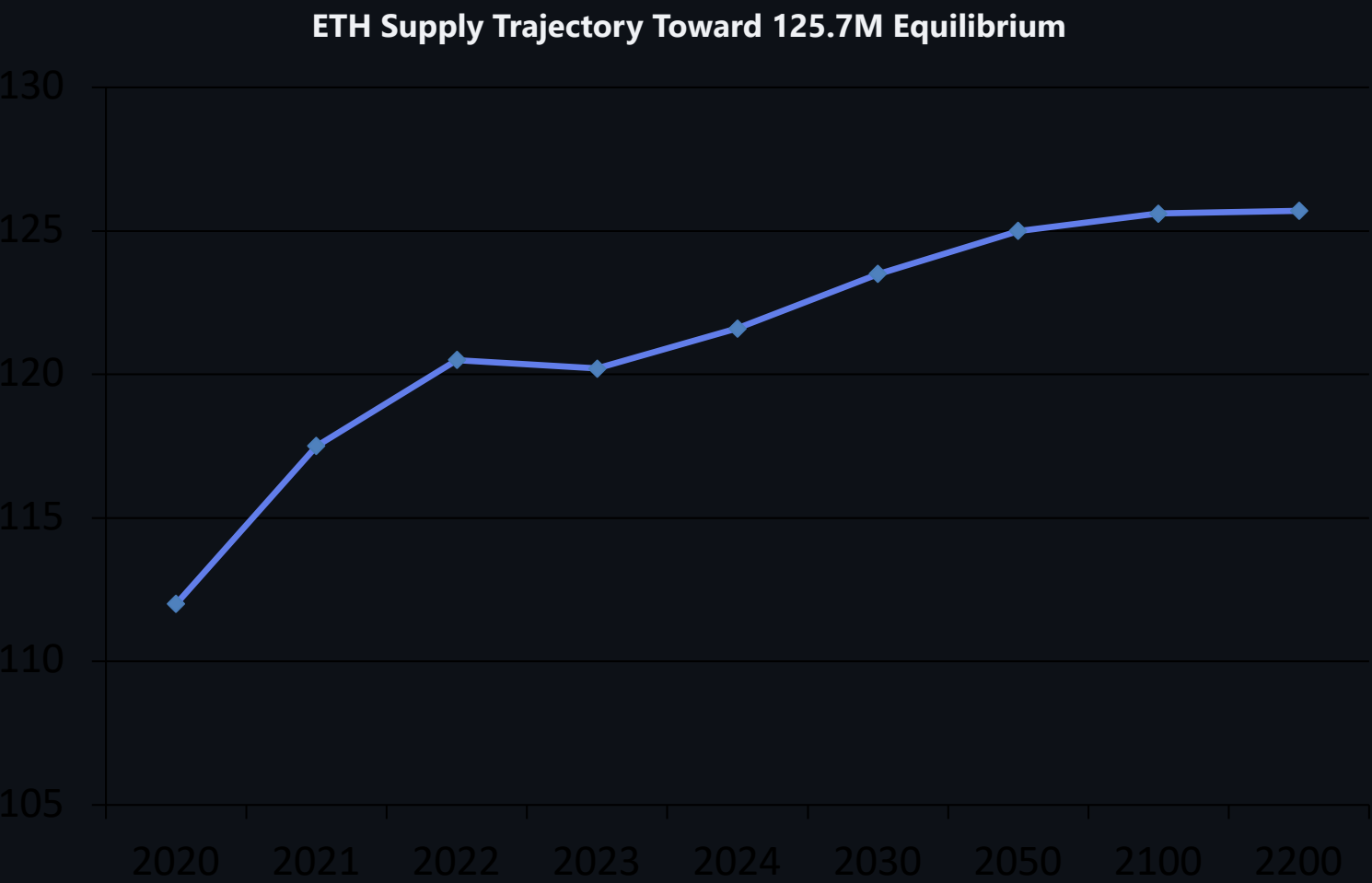
Validator Reward Composition (APR)



Staking Economics Breakdown

- 38.9M ETH staked $\approx$ 32% of total supply
- Scarcity engine locks 9.1M ETH for avg 10.7 years
- Issuance rewards: 0.9 ETH/validator = 2.7% APR
- Tips: effectively 0.0 ETH ($\sim$ 0.1% APR)
- MEV estimate: $\sim$ 0.0 ETH ($\sim$ 0.1% APR)
- Total validator yield: $\sim$ 2.9% APR
- PoS issuance $\sim$ 2,800 ETH/day vs fee burn $\sim$ 2,200 ETH/day (normalized)

Long-Term Equilibrium Projected at 125.7M ETH with 1,037K ETH/Year Issuance-Burn Balance

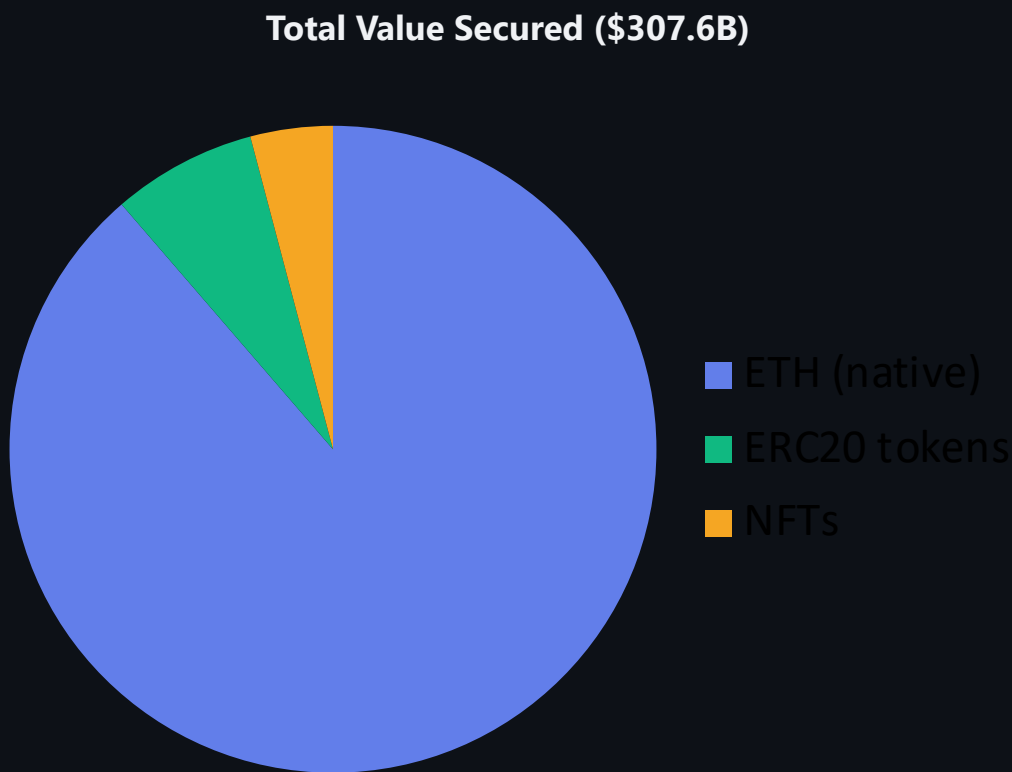


Projection Parameters

- Equilibrium: 125.7M ETH
- Assumed staked: 39M ETH
- Base gas assumption: 22 Gwei
- Balanced issuance-burn: ~1,037K ETH/year
- Staker rewards rate: 2.7%/year
- Non-staker burn rate: 1.2%/year
- PoS issuance: ~2.8K ETH/day
- Normalized burn: ~2.2K ETH/day

Era transitions: Genesis 5 ETH/block → Byzantium 3 ETH → Constantinople 2 ETH → Phase 0 Staking → London Burn → The Merge (PoW removal). Supply growth flattened dramatically post-merge.

ETH at 18.7% of Bitcoin's Market Cap, Securing \$272B in Native Value



Flipping Progress

Asset	ETH Market Cap Ratio
Bitcoin	18.70%
USD	1.30%
Gold	0.89%

Top Assets by Category

Top ERC20s: Dai \$4.41B, SHIB \$3.51B, Cronos \$2.97B, Tether Gold \$2.65B

Top NFTs: CryptoPunks \$2.13B, BAYC \$0.68B, ENS \$0.63B, Pudgy Penguins \$0.51B

Community: 6,000+ members tracking these metrics

Key Takeaways: Ultra Sound Money Thesis Intact but Gas Activity Is the Critical Variable

1. Mildly Inflationary Today

ETH is currently +0.83%/year due to historically low gas (~0.1 Gwei). Burns offset only ~1% of issuance.

2. Burn Mechanism Is Working

EIP-1559 destroys base fees. The mechanism is sound — it simply requires sustained on-chain activity to flip deflationary.

3. 38.9M ETH Staked Creates Scarcity

Nearly one-third of supply is locked in staking. 9.1M ETH sits in contracts with an average 10.7-year horizon.

4. Long-Term Equilibrium Is Structurally Sound

200-year projection converges to 125.7M ETH at 22 Gwei equilibrium. Issuance and burn balance at ~1,037K ETH/year.

5. Growing Monetary Premium

ETH reaches 18.7% of BTC market cap and secures \$307B+ in total value. The flipping is early but directional.

For investors: the ultra sound money thesis is a function of on-chain activity recovery. Watch gas prices, L2 adoption, and staking flows as leading indicators.